

Contents

1	General Management	2
1.1	Management Science	2
1.1.1	1. Dynamic Unraveling	2
1.1.2	2. Identifying Demand Curves in Index Option Markets	2
1.1.3	3. Do Financial Advisors Charge Sustainable Investors a Premium?	2
1.1.4	4. How Do Taxes Affect the Trading Behavior of Private Investors? Evidence from Individual Portfolio Data	3
1.1.5	5. The Rapid Adoption of Generative AI	3
1.1.6	6. Does Agglomeration Enhance Property Value?	4
1.1.7	7. The ESG-Innovation Disconnect: Evidence from Green Patenting	4
1.1.8	8. On the Expansion of Risk Pooling	5

General Management

Management Science

1. Dynamic Unraveling

Authors: Joel P. Flynn

DOI: [10.1287/mnsc.2022.02412](https://doi.org/10.1287/mnsc.2022.02412)

Published: 2026-01-30

Fields & Theories:

- **Fields:** Finance, Financial Markets, Asset Pricing, Market Microstructure
- **Theories:** Bayesian Social Learning, Information Economics, Unraveling Theory

Abstract:

This paper studies price and liquidity dynamics in the presence of costly short-selling when uninformed traders have limited willingness-to-pay to trade securities. In this setting, unraveling and Bayesian social learning interact to produce a novel mechanism, dynamic unraveling: Unraveling that generates signals that lead to future unraveling. Applying the theory, I show how dynamic unraveling explains low-volume crashes: falls in the prices of securities on low or declining trading volume. In this context, short-selling restrictions can make low-volume crashes more likely by intensifying dynamic unraveling, but liquidity injections have the opposite effect. History: Accepted by Agostino Capponi, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2022.02412>.

□ Flynn - Dynamic Unraveling.pdf

2. Identifying Demand Curves in Index Option Markets

Authors: Kris Jacobs, Anh Thu Mai, Paola Pederzoli

DOI: [10.1287/mnsc.2023.04263](https://doi.org/10.1287/mnsc.2023.04263)

Published: 2026-01-27

Fields & Theories:

- **Fields:** Finance, Financial Markets, Derivative Markets, Market Microstructure
- **Theories:** Demand System Analysis, Equilibrium Pricing, Sign-restricted Vector Autoregression

Abstract:

We identify latent demands in index option markets using a sign-restricted vector autoregression (VAR) and highlight the bias from treating (equilibrium) net demand as exogenous. Market-maker and end-user demand curves are far from infinitely elastic as assumed by some models, but elasticities exceed existing estimates for equities. Characterizing demand curves provides insights into the structure of index option markets. Deteriorating market conditions are associated with right shifts of the latent demand curves. The at-the-money (ATM) (out-of-the-money (OTM)) markets for calls and puts are mainly driven by end-user (market-maker) demand, and end-user (market-maker) ATM (OTM) call option demand predicts S&P500 returns. History: Accepted by Lukas Schmid, finance. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2023.04263>.

□ Jacobs - Identifying Demand Curves in Index Option Markets.pdf

3. Do Financial Advisors Charge Sustainable Investors a Premium?

Authors: Marten Laudi, Paul Smeets, Utz Weitzel

DOI: [10.1287/mnsc.2025.00232](https://doi.org/10.1287/mnsc.2025.00232)

Published: 2026-01-23

Fields & Theories:

- **Fields:** Finance, Sustainable Finance, Behavioral Finance, Household Finance
- **Theories:** Price Discrimination, Information Asymmetry, Principal-Agent Theory

Abstract:

Despite growing regulatory concerns about potential overcharging of sustainable investors, empirical evidence is lacking. In two controlled laboratory-in-the-field experiments with 415 professional financial advisors from Europe and the United States and an incentivized survey, we identify two distinct but interacting effects. First, advisors charge sustainable investors a premium. This premium persists even when accounting for differences in skill, effort, and costs. Second, advisors impose higher fees on clients with low financial literacy. These factors interact. Sustainable investors with low financial literacy are charged the highest fee, whereas those with high financial literacy do not pay a sustainability premium. Our findings suggest that advisors extract additional fees for sustainable investment mandates but avoid overcharging sustainable investors with high financial literacy. History: Accepted by Camelia Kuhnen, finance. Funding: P. Smeets was supported by the Nederlandse Organisatie voor Wetenschappelijk Onderzoek [Grant VI.Vidi.221E.011]. The experiments were financially supported by the Graduate School of Business and Economics at Maastricht University, Vrije Universiteit Amsterdam, and Radboud University. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2025.00232>.

□ Laudi - Do Financial Advisors Charge Sustainable Investors a Premium.pdf

4. How Do Taxes Affect the Trading Behavior of Private Investors? Evidence from Individual Portfolio Data

Authors: Florian Buhlmann, Philipp Doerrenberg, Benjamin Loos, Johannes Voget

DOI: [10.1287/mnsc.2023.04213](https://doi.org/10.1287/mnsc.2023.04213)

Published: 2026-01-22

Fields & Theories:

- **Fields:** Finance, Behavioral Finance, Household Finance, Public Economics
- **Theories:** Disposition Effect, Rational Choice Theory, Tax-Aware Trading Behavior

Abstract:

The removal of an intertemporal tax discontinuity in Germany provides us with a natural experiment to study the causal effect of taxes on individual stock-trading behavior and the disposition effect. Using individual investor transactions data combined with nonparametric regressions and bunching methods, we find that the presence of the tax discontinuity induces investors to adjust their holding periods, which reduces their effective tax rate by 11.3%. We also find that tax effects dominate the disposition effect in the days around the discontinuity and can inhibit it (by about 20%) during the six months preceding the discontinuity. We discuss the consequences of our results for the firms whose stocks are traded and policy implications. History: Accepted by Camelia Kuhnen, finance. Funding: F. Buhlmann gratefully acknowledges financial support by Mannheim Taxation Science Campus. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2023.04213>.

□ Buhlmann - How Do Taxes Affect the Trading Behavior of Private Investors Evidence from Indi.pdf

5. The Rapid Adoption of Generative AI

Authors: Alexander Bick, Adam Blandin, David J. Deming

DOI: [10.1287/mnsc.2025.02523](https://doi.org/10.1287/mnsc.2025.02523)

Published: 2026-01-20

Fields & Theories:

- **Fields:** Strategic Management, Innovation Management, Technology Adoption, Labor Economics
- **Theories:** Diffusion of Innovation, Productivity Theory, Human Capital Theory

Abstract:

Generative artificial intelligence (genAI) is a potentially important new technology, but its impact on the economy depends on the speed and intensity of adoption. This paper reports results from a series of nationally representative U.S. surveys of genAI use at work and at home. As of late 2024, 45% of the U.S. population age 18–64 uses genAI. Among employed respondents, 27% used genAI for work at least once in the previous week: 10% used it every workday and 17% on some but not all workdays. Relative to each technology's first mass-market product launch, work adoption of genAI has been faster than the personal computer (PC), and overall adoption has outpaced both PCs and the internet by an even wider margin. Between 1% and 7% of all work hours are currently assisted by genAI, and respondents report time savings equivalent to 1.4% of total work hours. Potential productivity gains vary widely by industry, and firm climate and policies play an important role in adoption patterns. History: Accepted by Alfonso Gambardello, business strategy. Funding: This work was supported by the Walmart Foundation [Grant 252882]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2025.02523>.

□ Bick - The Rapid Adoption of Generative AI.pdf

6. Does Agglomeration Enhance Property Value?

Authors: Crocker H. Liu, Chen Zheng, Bing Zhu

DOI: [10.1287/mnsc.2023.02773](https://doi.org/10.1287/mnsc.2023.02773)

Published: 2026-01-14

Fields & Theories:

- **Fields:** Strategic Management, Urban Economics, Real Estate Finance, Innovation Ecosystems
- **Theories:** Agglomeration Economies, Knowledge Spillover Theory, Externality Mechanism, Portfolio Theory

Abstract:

Does agglomeration within a building and/or neighborhood enhance or weaken property value? The valuation impact is unclear ex ante, given that agglomeration trades off enhanced productivity at the expense of a more concentrated tenant base. We find that a value premium exists only when agglomeration at both the building and neighborhood levels consists of firms in the same industry. This premium represents capitalized knowledge spillover externalities. Additionally, we show the stock market rewards real estate investment trusts that transact specialized buildings. The valuation consequences arising from agglomeration in the underlying real estate market are thus consistent with the public real estate market. History: Accepted by Tomasz Piskorski, finance. Open Access Statement: This work is licensed under a Creative Commons Attribution-NonCommercial-NoDerivatives 4.0 International License. You are free to download this work and share with others, but cannot change in any way or use commercially without permission, and you must attribute this work as "Management Science. Copyright © 2026 The Author(s). <https://doi.org/10.1287/mnsc.2023.02773>, used under a Creative Commons Attribution License: <https://creativecommons.org/licenses/by-nc-nd/4.0/>." Funding: This work was supported by the Real Estate Research Institute. Supplemental Material: The online appendix is available at <https://doi.org/10.1287/mnsc.2023.02773>.

□ Liu - Does Agglomeration Enhance Property Value.pdf

7. The ESG-Innovation Disconnect: Evidence from Green Patenting

Authors: Lauren H. Cohen, Umit G. Gurun, Quoc H. Nguyen

DOI: [10.1287/mnsc.2024.09124](https://doi.org/10.1287/mnsc.2024.09124)

Published: 2026-01-05

Fields & Theories:

- **Fields:** Strategic Management, Innovation Management, Corporate Social Responsibility, Corporate Finance
- **Theories:** Resource-Based View, Creative Destruction, Signaling Theory, Competitive Dynamics

Abstract:

We document that traditional energy firms are key innovators in the United States' green patent landscape. These firms produce more, and significantly higher-quality, green innovation. In many green technology spaces, they appear to be influential first movers and to produce ongoing foundational aspects of innovation and commercialization on which other alternative energy producers build. They additionally invest significantly in labor and capital to complement these green innovations. These traditional energy firms, however, receive significantly lower environmental, social, and governance (ESG) scores and fund flows and are not rewarded for incremental green innovation. This behavior is consistent with a competitive response by traditional energy firms to preempt obsolescence of current technology by investing in future replacement technologies. History: Accepted by Bo Becker, finance. Funding: Funding was provided by the National Science Foundation [Grant SciSIP 1535813] and the Fordham University Gabelli School of Business—PVH Corp. Global Thought Leadership Grant on Corporate Social Responsibility. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.09124>.

□ Cohen - The ESG-Innovation Disconnect Evidence from Green Patenting.pdf

8. On the Expansion of Risk Pooling

Authors: Michail Anthropolos, Runhuan Feng, Seongyeon Kim

DOI: [10.1287/mnsc.2024.06863](https://doi.org/10.1287/mnsc.2024.06863)

Published: 2026-01-02

Fields & Theories:

- **Fields:** Risk Management, Operations Management, Finance, Insurance Economics
- **Theories:** Risk Sharing Theory, Cooperative Game Theory, Equilibrium Pricing, Welfare Economics

Abstract:

Risk pooling has become an increasingly critical tool for managing risks among corporations, institutions, states, and nations, with examples including multinational pooling, decentralized insurance schemes, catastrophe risk pooling, and burden sharing for nuclear accidents. Although there has been a rich literature on such practices, little is known from a theoretical viewpoint regarding the operational strategies of risk pools and, in particular, on issues about the effect of a pool's expansion on each existing member's welfare. This paper is the first to explore these issues by establishing different notions of consensus for the expansion of a risk pool: strong consensus, where both existing members and new candidates improve their risk measures due to the pool's expansion, and weak consensus, which refers to the willingness of existing members to remain in the pool. Under optimal risk sharing for each pool, we show that its properties regarding expansion's effects depend strongly on the underlying pricing rule. For instance, only with risk-adjusted equilibrium pricing are existing members willing to accept highly risky new members, whereas simple linear pricing excludes such members from the pool. Additionally, the impact of exogenous reinsurance on consensus is analyzed under both pricing rules. The established framework offers valuable managerial insights and policy implications, which we illustrate through two indicative case studies based on real data. History: Accepted by Agostino Capponi, finance. Funding: Financial support from the Tsinghua University School of Economics and Management [Research Grant 2023051001], the National Social Sciences Foundation of China [Major Grant 23&ZD178] is gratefully acknowledged, and the Tsinghua University Independent Research Grant [2024THZWYY02]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.06863>.

□ Anthropolos - On the Expansion of Risk Pooling.pdf
